

2022 FINANCIAL REGULATIONS REVENUE REPORT

CONSTITUTIONAL AGENCIES

1. INTRODUCTION

This report aims to provide a summary of revenue collecting agencies that make up the Constitutional Agencies of the Government in 2022. The Constitutional agencies are made of the Citizenship Office, the State Law Office, the Judiciary, the Public Service Commission, the Parliament, the Public Solicitor and the Public Prosecutor.

Together the Constitutional Agencies are budgeted to collect a budget of **VT 9,653.7 million** in form of fees and charges. This is **28%** of the total budgeted Government revenue.

99% of the Constitutional Agencies' revenue budget is collected by the State Law Office (SLO) and the Citizenship Office through the Honorary Citizenship Program fees. It is to be noted that a majority of the institutions are not revenue generating institutions. They mostly operate a user charge fee or a basic fee for services provided. Clients or users of services provided, pay these fees before services are provided.

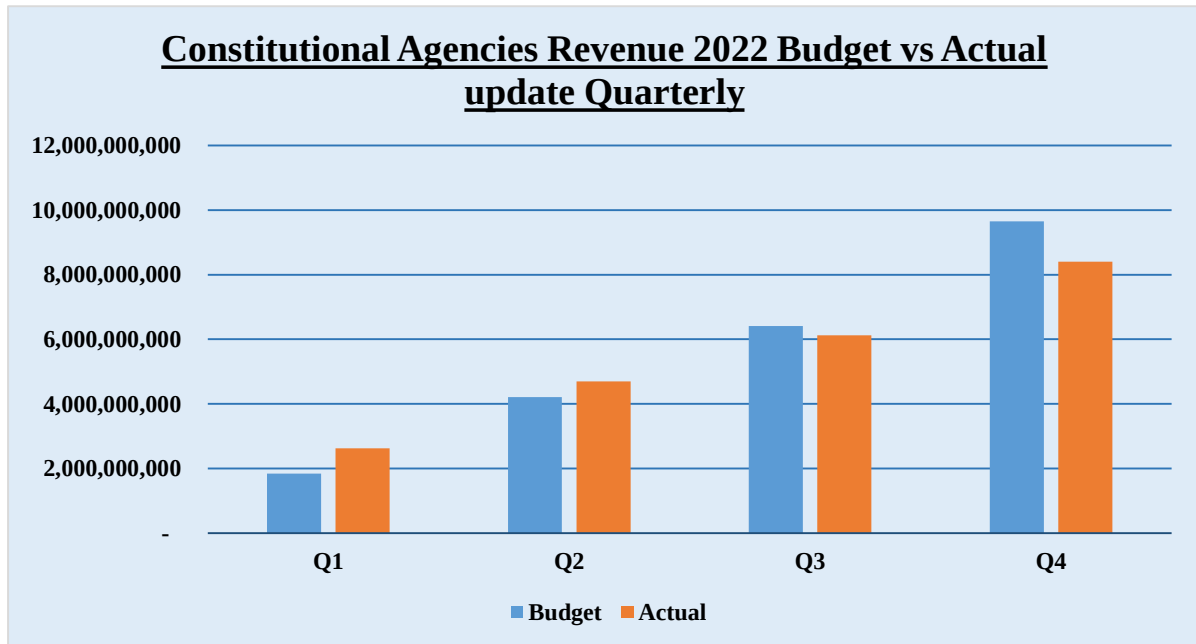
Table 1.1. Constitutional Agencies who are Revenue Collecting Agencies:

Constitutional Agency	2022 Revenue Budget (in VT)	Total Constitutional Agencies % Share of Revenue
Citizenship Office	9,183,602,947	95.1%
State Law Office	403,150,000	4.2%
Judiciary	26,044,000	0.3%
Public Service Commission	32,984,546	0.3%
Parliament		0.0%
Public Solicitor	900,000	0.0%
Public Prosecutor	751,490	0.0%

2. 2022 REVENUE UPDATE

Graph 2.1 below shows cumulative Constitutional Agencies' revenue budget for each progressive quarter against the actual revenue collected.

Graph 2.1. Constitutional Agencies' Cumulative Quarterly Revenue Budget vs Actual



At the end of 2022, the Constitutional Agencies collected a total revenue of **VT 8,407.5 million**, **VT 12.9%** less than its budget target. The Citizenship Office collected **94.4%** of total collection. The State Law Office (SLO) and the Public Service Commission (PSC) also contribute to the strong revenue collection.

3. GENERAL DISCUSSIONS - REVENUE COLLECTION BY CONSTITUTIONAL AGENCIES

Annex 1 of this report provides an overview of the specific revenue collected within the Constitutional Agencies in 2022.

Revenue Collections by individual Agencies are presented in Table 3.1

Table 3.1 Brief Summary – 2022 Revenue Budget vs. Actuals

	Revised 2022 Annual Revenue Budget	2022 Actuals	Variance	Percentage of Annual Revenue Budget collected
Citizenship Office	9,183,602,947	7,936,159,308	-1,247,443,639	86.4%
Judiciary	24,930,000	20,456,120	-4,473,880	82%
Public Prosecutor	751,490	-1,148,075	-1,899,565	-153%
Public Service Commission	32,984,546	33,179,675	195,129	100.6%
Public Solicitor	900,000	760,532	-139,468	84.5%
National Audit Office	6,230,000	30,000	-6,200,000	0.5%
Malvatumauri Council of Chiefs	843,220	137,500	-705,720	16.3%
State Law Office	403,150,000	417,914,177	14,764,177	104%
Total	9,653,392,203	8,407,489,237	-1,245,902,966	87%

3.1.Citizenship Office

The Citizenship Office currently runs the Vanuatu Citizenship by Investment (CBI) program. CBI programs “help create significant sovereign and societal value through transferring assets from wealthy individuals to developing countries”, supporting fiscal independence and address growing imbalances and inequalities inherent to traditional sovereign debt financing. Vanuatu is one of at least 13 countries globally offering CBI programs and one of more than 60 countries offering Immigration Investment.

Vanuatu’s CBI program is offered through its Vanuatu Development Support Program (VDSP) and Vanuatu Contribution Program (VCP) which alone has been budgeted to collect **28%** of the 2022 National Revenue Budget.

Citizenship Office revenue collected from the CBI program, recorded as Honorary Citizenship Program Fees, has been forecasted to collect **VT 9,183.6 million** in 2022 budget forecast. Actual collections raised by the Citizenship Office (excluding fees from the program collected by other agencies like SLO, the Civil Registry and Immigration Office) however, recorded an amount of **VT 7,936.2 million** at year end. With the COVID-19 crisis, EU requirement with

the Visa Waiver and the corresponding bank issues we have seen a minor decline in terms of revenue collection in 2022.

The Program has made headlines in Vanuatu where concerns have been raised on it being an unsustainable Government revenue. However, given the significant contribution the program makes to the national revenue basket and thus the expenditure, any changes to the program must be carefully thought out.

3.2.State Law Office

The State Law Office's (SLO) main duties include giving the government legal counsel and advocating on its behalf in court. As a result of litigation, the Office also offers legislative drafting services and policy advice to the government. In accordance with the Anti-Money Laundering & Counter Terrorism Financing Act No. 13 of 2014 ("AML&CTF Act"), the agency also provides financial intelligence services to the government. More than 90% of the revenue tallied under this Constitutional Body is produced by the Financial Intelligence Unit (FIU).

The total revenue collected by the State Law Office at the end of 2022 was VT 417.9 million. Thus, SLO's revenue collection exceeded its VT 14.8 million annual revenue budget objective.

Revenue collected from court cost recoveries, other fines and publications have exceeded the quarter's budget target. **96.8 percent** of the revenue collected by the State Law Office are from Due Diligence fees that directly relate to the Honorary Citizenship Program. Successful citizenship holders from the Vanuatu Development Support Program (VDSP) and Vanuatu Development Program (VDP) are obligated under the law to undergo a due Diligence check by the Financial Intelligence Unit (FIU). The SLO through its FIU have successfully exceeded their 2022 revenue target.

The revenue generated by the Citizenship program will have a similar trajectory as the due diligence fees received by the FIU. Due diligence charges and other associated costs collected by the State Law Office will rise in cycle with the revenue generated by the Citizenship program.

3.3.Public Solicitor

The revenue collected under the Public Solicitors office is related to the user charge fees imposed for the service provided. The office collected **15.5 percent** less than its budget target this year. The collection recorded as Other Fees is from services provided for new mortgage and advice fees as well as new client fees.

3.4.Judiciary

The biggest share of revenue collected from Judiciary is related to court fines imposed by this Constitutional Body. The Supreme Court usually records the highest share of Court Fines as revenue, followed by the Magistrate Courts and then the Island Courts. Usually, fines must be

settled before a service is provided by Judiciary. The Judiciary's 2022 revenue collection was only **17.9 percent** less than its budget target. **20.9 percent** of the revenue collection were recorded as Court Cost Recoveries. This unbudgeted revenue item includes administrative fees like Court fees-civil cases, Island/Magistrate/Supreme Court fees and Land Appeal fees.

3.5.Public Service Commission

The Public Service Commission (PSC) recorded a revenue collection of **VT 33.2 million** in the 2022 financial year. The actual revenue collection has reached its revenue budget target in the 2022 financial year. Government House Recoveries are rentals collected from Government Housing properties and its collections make up **99.0 percent** of PSC's collections this quarter.

4. OVERALL PERSPECTIVE ON 2022 REVENUE PERFORMANCE

Regarding the general picture, the Constitutional Agencies' income collection items met their aim of **87.1%**. The State Law Office and the Citizenship Office, both of which collect money have performed remarkably effectively. However, the revenue trend has decreased when compared to prior years. Therefore, it is crucial to emphasize that given their sizeable impact on the National Budget, modifications to the countries' CBI programs must be carefully addressed.

ANNEX

Department	2022 Revenue Budget	2022 Actuals	Variance	Percentage of Annual Revenue Budget collected
Citizenship Office	9,183,602,947	7,936,159,308	- 1,247,443,639	86%
06 7NFF Honorary Citizenship Program Fees	9,161,807,211	7,924,407,151	- 1,237,400,060	86%
06 7NFO Other Fees	20,264,120	20,739	- 20,243,381	0%
06 7NFY Citizenship Fees	-	10,947,899	10,947,899	
06 7NOA Application Charges Recoveries	1,531,616	797,867	- 733,749	52%
06 7NOI Inspections Recoveries		- 14,348	- 14,348	
Judiciary	26,044,000	20,456,120	- 4,473,880	82%
14 7NFN Court Fees	550,000		- 550,000	0%
14 7NOC Court Costs Recoveries	24,380,000	14,397,320	14,397,320	
14 7TFC Court Fines	1,114,000	6,058,800	- 18,321,200	25%
Public Service Commission	32,984,546	33,179,675	195,129	101%
19 7NDV Vehicles Disposals	422,170	11,000	- 411,170	3%
19 7NOH Government Houses Recoveries	32,562,376	33,196,748	634,372	102%
19 7NOV Valuations Recoveries	-	13,500	13,500	
19 7NOM Commissions Recoveries		- 41,573	- 41,573	
Public Solicitor	900,000	760,532	- 139,468	85%
13 7NOO Other Recoveries	900,000	760,532	- 139,468	85%
State Law Office	403,150,000	417,914,177	14,764,177	104%
11 7NFF Honorary Citizenship Program Fees	400,000,000	414,636,631	14,636,631	104%
11 7NIO Other Fines	1,000,000	2,244,250	1,244,250	224%
11 7NOC Court Costs Recoveries	100,000		- 100,000	0%
11 7NTP Publications Revenue	2,050,000	1,056,296	- 993,704	52%
11 7NOI Inspections Recoveries		- 23,000	- 23,000	
National Audit Office	6,230,000	30,000	- 6,200,000	0%
05 7NFO Other Fees	6,230,000	30,000	- 6,200,000	0%

04 - Malvatumauri Council of Chiefs		137,500	- 705,720	16%
04 7NFO Other Fees		137,500	- 705,720	16%
12 - Public Prosecutor	751,490	- 1,148,075	- 1,899,565	-153%
12 7NOC Court Costs Recoveries	751,490	601,925	- 149,565	80%
12 7NOO Other Recoveries	-	- 1,750,000	- 1,750,000	
TOTAL	9,653,662,983	8,407,489,237	- 1,245,902,966	87%